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BY LAWS

OF

WOODBURY COMMUNITY ASSOCIATION

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**BYLAWS OF
WOODBURY COMMUNITY ASSOCIATION**

**ARTICLE I
NAME AND LOCATION**

Section 1. Name and Location. The name of the corporation is WOODBURY COMMUNITY ASSOCIATION, (hereinafter referred to as the "Master Association"). The principal office of the Master Association shall be located at the Community in the City of Irvine, County of Orange, State of California.

**ARTICLE II
DEFINITIONS**

Section 1. Definitions. Various capitalized words and phrases used in these Bylaws are defined in that certain "Master Declaration of Covenants, Conditions and Restrictions, and Reservation of Easements for Woodbury," recorded on August 31, 2004 as Instrument No. 2004000788234 and re-recorded on September 8, 2004 as Instrument No. 2004000812423, in the Official Records of Orange County, California, as the same may be restated and/or amended from time to time (hereinafter referred to as the "Master Declaration"), and unless otherwise indicated, such words and phrases shall have the same meaning herein as is ascribed to them in the Master Declaration. All of the terms and provisions of the Master Declaration are hereby incorporated herein by this reference.

**ARTICLE III
MEMBERSHIP AND VOTING RIGHTS
IN THE MASTER ASSOCIATION**

Section 1. Membership in the Master Association. The qualifications for membership in the Master Association and the classes of membership are set forth in the Article in the Master Declaration entitled "The Master Association."

Section 2. Representative Form of Governance. In order to provide for the efficient and effective management of the Master Association, Declarant has established a representative form of governance for the Master Association which utilizes a Delegate District system of voting as described in the Master Declaration and herein. The procedures for the formation of the Delegate Districts and the initial selection and subsequent election of the Delegates (and Alternate Delegates) are set forth in the Master Declaration. Additionally, the voting procedures to be followed by the Delegates (including, but not limited to, the number of votes [i.e. voting power] held by each Delegate), the manner in which a Delegate shall cast the votes attributable to the Members in his respective Delegate District and the voting rights of the Declarant's Delegate are set forth in the Master Declaration. Where applicable, all references herein to the term "Delegate" shall be deemed to include the Declarant's Delegate.

Section 3. Meaning of the Total Voting Power of the Master Association. Any reference in the Master Declaration or in these Bylaws to a matter to be approved by a specified percentage of the "total voting power of the Master Association" shall mean Delegates casting affirmative votes or giving written consent on behalf of such specified percentage of the combined total number of votes of both the Class A and Class B Members of the Master Association. Except as otherwise provided in the Master Declaration or in these Bylaws, any action which may be taken by the Master Association may be taken by Delegates casting affirmative votes or giving written consent on behalf of a majority of the total voting power of the Master Association.

Section 4. Vesting of Voting Rights. The voting rights attributable to a Lot or Condominium in the Community shall not vest until the Assessments provided for in the Master Declaration have been levied by the Master Association against said Lot or Condominium.

Section 5. Transfer. The Master Association membership held by any Owner of a Lot or Condominium shall not be transferred, pledged or alienated in any way, except as incidental to the sale of such Lot or Condominium and the membership shall be automatically transferred upon the sale of such Lot or Condominium. In the event of such sale, the Master Association membership may only be transferred, pledged or alienated to the bona fide purchaser or purchasers of the Lot or Condominium, or to the Mortgagee (or third-party purchaser) of such Lot or Condominium upon a foreclosure sale, deed in lieu or other remedy set forth in the

Mortgage. Any attempt to make a prohibited transfer is void and will not be reflected in the books and records of the Master Association.

ARTICLE IV

MEETINGS OF THE MASTER ASSOCIATION

Section 1. Organization and Annual Meetings of the Master Association.

Regular meetings of Master Association shall be held not less frequently than once each calendar year at the time and place prescribed by these Bylaws. The first meeting of the Master Association, whether a regular or special meeting, shall be held not later than six (6) months after the first Close of Escrow for the sale of a Lot or Condominium in the Community. Thereafter, the annual meeting of the Master Association shall be held on or about the anniversary date of the first annual meeting. All Members of the Master Association may attend (and each first Mortgagee may designate a representative to attend) the meetings of the Master Association (to the extent of the permissible capacity of the meeting room), but may not participate in the voting by the Delegates.

Section 2. Special Meetings of the Master Association. The Secretary shall call a special meeting of the Master Association upon: (a) a vote by a majority of a quorum of the Board of Directors to call a special meeting; (b) receipt of a petition signed by Delegates representing at least five percent (5%) of the total voting power of the Master Association; (c) the rejection by the Board of Directors of a settlement offer as referenced in California Civil Code Section 1375; or (d) any vote by a majority of a quorum of the Board of Directors to commence an action for damages pursuant to Section 1375 of the California Civil Code.

The notice of any special meeting shall be given within five (5) days after such action by the Board or receipt of such petition and shall state the time and place of the meeting, the purpose thereof and any information required by law or by the Master Declaration. The special meeting shall normally be held not less than thirty-five (35) days or more than ninety (90) days after such action by the Board or receipt of the petition, provided however, in all events a special meeting of the Master Association shall be held after the meetings of Members of the Delegate Districts have been held in order to enable the Members to give direction to their respective Delegate. No business shall be transacted at a special meeting except as stated in the

notice. All Members of the Master Association may attend (and each first Mortgagee may designate a representative to attend) all special meetings of the Delegates, but may not participate in the voting by the Delegates.

Section 3. Notice of Meetings. Written notice of each annual meeting and of each special meeting shall be given by, or at the direction of, the Secretary of the Master Association by mailing a copy of such notice by first-class mail, postage prepaid, and/or by any other means approved by the Board which is reasonably calculated to give Notice of such meeting (e.g., transmission by facsimile or e-mail). Except in emergency situations, not less than thirty (30) days nor more than ninety (90) days notice of any meeting shall be given. The notice shall specify the day, hour and place where the meeting is to be held and those matters which the Board, at the time of the notice, intends to present for action by the Delegates, if any, but except as otherwise provided by law, any proper matter may be presented at the meeting for action. The notice shall be sent to: (1) all Delegates (and Alternate Delegates) of record, (2) all Members of the Master Association, and (3) each Eligible Mortgage Holder. A reasonable time limit for Delegates and for Members to speak shall be established by the Board. The notice of any meeting at which Directors are to be elected shall include the names of all nominees. Notice given in the manner provided in this Section, shall be considered served forty-eight (48) hours after the notice was deposited in a regular depository of the United States mail or was electronically transmitted. In all cases, notice shall also be posted in a conspicuous place in the Community, and the notice shall be deemed served upon any Member by posting if no address for such Member has been furnished to the Secretary.

Section 4. Special Notice Requirements. Approval by the Delegates of any of the following proposals, other than by unanimous approval of those Delegates entitled to vote, shall not be valid unless the general nature of the proposal was stated in the notice or in any written waiver of the notice:

- (a) removing a Director without cause;
- (b) holding a special meeting to fill one or more vacancies on the Board;
- (c) amending the Articles;
- (d) approving a contract or transaction between the Master Association and any entity in which a Director has a material financial interest;
- (e) electing to wind up and dissolve the Master Association;

(f) approving a plan of distribution of assets, other than money, not in accordance with the liquidation rights of any class of Members (applicable only if the Master Association is in the process of winding up and there is more than one class of membership outstanding at the time).

Section 5. Waiver of Notice. All transactions at any meeting of the Master Association which was not properly noticed shall be as valid as though taken at a meeting duly held after proper notice, if (1) a quorum (as defined hereinbelow) was present, and (2) either before or after the meeting, each Delegate who was entitled to vote but who was not present in person, signs a written waiver of notice, a consent to the holding of the meeting, or an approval of the minutes of the meeting. The waiver of notice, consent or approval need not specify either the business to be transacted or the purpose of any meeting, except that if action is taken or proposed to be taken for approval of any of those matters specified in the preceding Section 4, the waiver of notice, consent or approval shall state the general nature of the proposal. All such waivers, consents or approvals shall be filed with the corporate records or made a part of the minutes of the meeting.

Attendance by a Delegate at a meeting shall constitute a waiver of notice, unless the Delegate objects at the beginning of the meeting to the transaction of any business because the meeting has not been properly called or noticed. However, attendance at a meeting is not a waiver of any right to object to the consideration of matters required to be included in the notice of the meeting but not so included, if that objection is expressly made at the meeting.

Section 6. Quorum. Except as otherwise provided in these Bylaws or the Master Declaration, the presence in person of Delegates representing at least fifty-one percent (51%) of the total voting power of the Master Association shall constitute a quorum for the transaction of business. The Delegates present at a duly called meeting at which a quorum is present may continue to do business until adjournment, notwithstanding the withdrawal of enough Delegates to leave less than a quorum. In the initial absence of a quorum, those Delegates who represent a majority of the Members represented may adjourn the meeting to another time not less than five (5) days nor more than thirty (30) days from the date of the original meeting. If the time and place of the adjourned meeting are announced prior to the adjournment of the original meeting, no notice of the adjourned meeting is required, provided that if a new date is fixed for the adjourned meeting after the adjournment of the original

meeting, notice of the date, time and place of the adjourned meeting shall be given in the manner prescribed in Section 3 hereinabove. Any business that might have been transacted at the original meeting may be transacted at the adjourned meeting other than to re-adjourn the meeting to another time. If a meeting is adjourned because a quorum is not present, the quorum requirement at the adjourned meeting shall be Delegates representing twenty-five percent (25%) of the total voting power of the Master Association. If, however, such an adjourned meeting is attended by Delegates representing less than one-third (1/3) of the total voting power of the Master Association, notwithstanding the presence of a quorum, only those matters which were included in the notice given in accordance with Section 3 hereinabove may be acted upon. Delegates may only act personally, or by written ballot, and may not act by proxy except as otherwise provided in the Master Declaration.

Section 7. Action Without a Meeting and by Written Ballot. Except for the election of Directors where cumulative voting is required and the consideration of the commencement of an action for damages which is subject to California Civil Code Section 1375, any other action that may be taken at any meeting of the Master Association, may be taken by written ballot of the Delegates if the following requirements are satisfied:

(a) The Secretary of the Master Association distributes a written ballot to each Delegate entitled to vote on the matter. The ballot shall be given personally, or by first-class, registered, or certified mail addressed to the Delegate at the address appearing on the books of the Master Association or given by the Delegate to the Master Association for the purpose of notice. The ballot shall provide a reasonable time within which to be returned.

(b) Each ballot shall set forth: (1) each proposed action, (2) an opportunity to specify approval or disapproval of each proposed action, (3) a reasonable time within which to return the ballot to the Master Association pursuant to Section 7513 of the California Corporations Code, as same may be amended from time to time, in order to be counted, (4) the number of responses needed to meet the quorum requirement, and (5) the percentage of approvals necessary to approve each proposed action. Ballots shall be solicited in a manner consistent with the requirements of Section 7511 and 7514 of the California Corporations Code, as same may be amended

from time to time. The solicitation must specify the time by which the ballot must be received in order to be counted.

(c) The proposed action shall be approved by written ballot if (1) within the time period specified, the number of votes cast by ballot equals or exceeds the quorum required to be present at a meeting authorizing the action, and (2) the number of approvals equals or exceeds the number of votes that would be required for approval at a meeting at which the total number of votes cast was the same as the number of votes cast by ballot.

(d) A written ballot may not be revoked.

(e) All written ballots shall be filed with the Secretary of the Master Association and maintained in the corporate records.

Section 8. Order of Business. Unless otherwise indicated by an agenda, the order of business at meetings of the Master Association shall be as follows: (1) roll call of the Delegates; (2) determination of the voting power represented at the meeting; (3) verification of a quorum; (4) proof of notice of meeting or waiver of notice; (5) reading of the minutes of the preceding meeting; (4) reports of officers; (6) reports of committees; (7) appointment of an inspector of any election of Directors; (8) election of Directors (at annual meetings or special meetings held for such purposes); (9) unfinished business; and (10) new business.

Section 9. Place of Meetings. Meetings of the Master Association shall be held within the Community or such other suitable meeting place within the City as close thereto as practicable and convenient to the Delegates, as may be designated by the Board of Directors from time to time. All meetings of the Master Association shall be conducted in accordance with a recognized system of parliamentary procedure (e.g. Roberts Rules of Order) or such other parliamentary procedures as the Board may adopt.

Section 10. Minutes, Presumption of Notice. Minutes or a similar record of the proceedings of meetings of the Master Association, when signed by the President or Secretary, shall be presumed truthfully to evidence the matters set forth therein. A recitation in the minutes of any such meeting that notice of the meeting was properly given shall be prima facie evidence that such notice was given.

Section 11. Compensation of Delegates. No Delegate shall receive any compensation for any services performed for the Master Association or his respective Delegate

District; provided however, a Delegate may be reimbursed for his actual expenses incurred in the performance of his duties.

Section 12. Mortgagee Representation. Eligible Mortgage Holders shall have the right to attend all meetings of the Master Association through a representative who has been designated in a writing delivered to the Board prior to such meeting.

ARTICLE V

BOARD OF DIRECTORS:

NOMINATION, ELECTION, TERM OF OFFICE

Section 1. Number and Qualifications of Directors. The affairs of the Master Association shall be managed by a Board consisting of either three (3) Directors or five (5) Directors. Except for those appointed and serving as first Directors, the Board shall consist only of Members who are in good standing with the Master Association, or an agent of Declarant or a Merchant Builder so long as Declarant is entitled to annex any of the Annexable Property into the Community. The Board shall initially consist of three (3) Directors who shall be appointed by the Declarant as soon as practicable after the incorporation of the Master Association, and shall hold office until Directors are elected by the Delegates at the first annual meeting of the Master Association as specified in these By-Laws.

Section 2. Nomination. Nomination for election to the Board shall be made by a Nominating Committee. The Nominating Committee shall consist of a Chairman, who shall be an officer of the Master Association, and two (2) Delegates. The Nominating Committee shall be appointed by the Board prior to each annual meeting of the Master Association to serve from the close of such annual meeting until the close of the next annual meeting, and such appointment shall be announced at each meeting. The Nominating Committee shall make as many nominations for election to the Board as it shall in its discretion determine, but no fewer than the number of vacancies that are to be filled. Nominations may be made from among Members or non-Members so long as Declarant is entitled to annex any of the Annexable Property into the Community. Thereafter, nominations shall only be made from among Members. Pursuant to Section 7521 of the California Corporations Code, as same may be amended from time to time, any Member who submits to the Nominating Committee prior to the

close of nominations a petition signed by two percent (2%) of the voting power of the Class A Members shall be deemed nominated. The Board shall establish a date for the close of nominations which is sufficiently in advance of the time reasonably necessary for the Secretary of the Master Association to call the meetings of the Members in each Delegate District. The names of all nominees shall be set forth in the notice of the meetings of the Members in each Delegate District, as more particularly set forth in the Master Declaration. Nominations may not be made at the meetings of the Members in each Delegate District nor from the floor of the meeting of the Master Association.

The Board shall adopt procedures that provide for a reasonable opportunity for nominees (1) to communicate to the Members, their qualifications and their reasons for candidacy, (2) to solicit votes, and (3) to meet with the Members in their respective Delegate Districts.

Section 3. Election and Term of Office. At the first annual meeting of the Master Association, the Delegates shall elect the Directors in accordance with the provisions of the Master Association Documents. The Directors elected by the Declarant's Delegate pursuant to the Declarant's Class C voting rights shall each serve for a term of two (2) years. The Director elected by the Class A members who received the highest number of votes shall also be elected for a term of two (2) years. At such time as the Board shall vote to increase the number of Directors to five (5), the Board may appoint two (2) Directors to fill the two (2) vacancies until the next annual meeting. At such next annual meeting, the three (3) Directors elected by Declarant's Delegate pursuant to the Declarant's Class C voting rights, (or after the expiration of Declarant's Class C voting rights, the three (3) Directors receiving the highest number of votes) shall each be elected for a term of two (2) years, and the two (2) Directors receiving the next highest number of votes shall each be elected for a term of one (1) year. At each annual meeting thereafter, successor Directors shall be elected for a term of two (2) years; provided however, the term of office for a Director elected to fill a vacancy created by the removal of his predecessor shall be the balance of the unserved term of his predecessor. Any person serving as a Director may be re-elected, and there shall be no limitation on the number of terms which a Director may serve.

Directors shall be elected by secret written ballot by the Delegates. Cumulative voting is required for an election of Directors when more than one (1) Director is to be elected. All cumulative voting hereunder shall comply with the procedural prerequisites of California Corporations Code Section 7615(b), as same may be amended from time to time. All Delegates (including Declarant's Delegate) shall have the right to cumulate votes and may give one candidate or divide among any number of candidates, a number of votes equal to the total number of votes such Delegate is entitled to cast, multiplied by the number of Directors to be elected.

Section 4. Declarant's Class C Voting Rights. As more particularly set forth in the Master Declaration, Declarant is the Class C Member of the Master Association. The Class C membership is not considered part of the voting power of the Master Association and Declarant is not entitled to exercise any Class C vote except for the purpose of electing a majority of the Board of Directors of the Master Association until the election of the Board immediately following the "Class C Termination Date" (as defined in the Master Declaration).

Section 5. Class A Members' Special Voting Rights. So long as the Class B or Class C memberships shall remain in effect, Delegates representing the Class A Members (other than Declarant and the Merchant Builders) shall be entitled to solely elect at least twenty percent (20%) of the members of the Board.

Section 6. Removal. Subject to the provisions of Section 4 above, at any duly noticed regular or special meeting, one (1) or more of the Directors may be removed, with or without cause, by a vote of Delegates representing a majority of the total voting power of the Master Association, and a successor may then and there be elected to fill the vacancy so created, or may be elected at a duly noticed special meeting called for such purpose. Unless the entire Board is removed from office by the vote of the Delegates, an individual Director shall not be removed prior to the expiration of his term of office if the number of votes cast against his removal would be sufficient to elect the Director if voted cumulatively at an election at which the same total number of votes were cast and the entire number of Directors authorized at the time of the most recent election of the Director were then being elected. A Director who has been elected to office solely by the votes of Delegates representing the voting power of Members other than Declarant and the Merchant Builders, may be removed from office prior to the expiration of his term of office only by the vote of Delegates representing at least a simple

majority of the voting power residing in Members, other than the Declarant and the Merchant Builders; and in the event of such removal the Director's successor shall be elected in accordance with the provisions of these Bylaws and shall serve the balance of the unserved term of his predecessor. All Directors elected by the Declarant's Delegate pursuant to the Declarant's Class C voting rights may only be removed by Declarant's Delegate.

Section 7. Vacancies. Subject to the provisions of Sections 4 and 5 above, vacancies on the Board caused by any reason, other than the removal of a Director by a vote of Delegates of the Master Association, shall be filled by vote of the majority of the remaining Directors even though they may constitute less than a quorum. Each person so elected shall be a Director and shall serve for the remainder of the term of the Director he replaces, or until a successor is elected at a duly noticed special meeting of the Master Association called for that purpose. In the event that a majority of the remaining Directors are unable to agree upon a successor within fifteen (15) days following the occurrence of a vacancy, subject to the provisions of Sections 4 and 5 above, a special election to fill the vacancy shall then be held in accordance with the terms provided in the Articles herein entitled "Meetings of the Master Association," and "Board of Directors: Nomination, Election, Term of Office," within not less than fifteen (15) days nor more than forty-five (45) days following the expiration of said fifteen (15) day period. Notice of a special meeting and election shall be given in accordance with the provisions of these Bylaws. Vacancies shall be deemed to exist in case of death, resignation, the Close of Escrow for the sale of the Director's Lot or Condominium in the Community or a judicial determination of mental incompetency.

Section 8. Compensation of Directors. No Director shall receive compensation for any services performed for the Master Association; provided, however, a Director may be reimbursed for his actual expenses incurred in the performance of his duties.

ARTICLE VI

MEETINGS OF THE BOARD OF DIRECTORS

Section 1. Regular and Special Meetings. Regular meetings of the Board shall be held monthly or as otherwise determined by the Board, but not less frequently than twice a year, and on such day and at such hour as may be fixed, from time to time, by resolution of the

Board. Should said meeting fall upon a legal holiday, then that meeting shall be held at the same time on the next day which is not a legal holiday. Notice of the time and place of a regular meeting shall be posted at a prominent place or places within the Master Association Property, shall be given by mail to any Owner had requested notification of board meetings by mail, at the address requested by such Owner, and shall be communicated to the Directors not less than four (4) days prior to the meeting, unless the time and place of the meeting is fixed by the Directors. Notice to the Directors may be given personally, by first class mail, by telephone, facsimile or other electronic transmission approved by the Board. Notwithstanding the foregoing, notice of a regular meeting need not be given to any Director who has signed a waiver of notice or a written consent to holding of the meeting, or who attends the meeting without protest. Special meetings of the Board shall be held when called by the President of the Master Association or by two (2) Directors, other than the President. Notice of the special meeting shall be posted in a permanent place or places in the Master Association Property and shall be communicated to the Directors in the same manner as provided for herein for regular meetings. Such notice shall be sent not less than seventy-two (72) hours prior to the scheduled time for the special meeting. Notwithstanding the foregoing, notice of the special meeting need not be given to any Director who has signed a waiver of notice or a written consent to holding of the meeting, or who attends the meeting without protest. The notice shall specify the time and place of the meeting and the nature of any special business to be transacted. Such notice, whether delivered personally to the Directors or sent by letter (postage prepaid), facsimile or other electronic transmission shall be to the address reflected in the records of the Master Association. Regular and special meetings of the Board shall be open to all Members of the Master Association. The Board shall permit any Member to speak at any meeting of the Master Association or the Board, except for meetings of the Board held in executive session. A reasonable time limit for Members to speak shall be established by the Board. The Board may, with the approval of a majority of the Directors present at a meeting in which a quorum for the transaction of business has been established, adjourn a meeting and reconvene in executive session to consider litigation in which the Master Association is or may become involved, matters relating to the formation of contracts with the parties, discipline of any Member, or personal matters. The nature of any and all business to be considered in executive session shall first be announced in open session, and generally noted in the minutes of the Board meeting.

Section 2. Meetings of Directors. The meetings of the Directors shall be held at the Community or as close thereto as possible as may be designated by the Board. Directors may participate in a meeting by means of a conference telephone conversation so long as all Directors participating in such meeting can hear one another. Such participation shall be deemed to constitute the presence in person at such meeting.

Section 3. Rights of Members to Request Meeting in Executive Session. Any Member of the Master Association may attend meetings of the Board except when the Board adjourns to executive session as provided above. In any matter relating to the discipline of a Member, the Board shall meet in executive session, if requested by the affected Member, and the Member shall be entitled to attend the executive session.

Section 4. Minutes of Board Meetings. The minutes, minutes proposed for adoption that are marked to indicate draft status, or a summary of the minutes, of any meeting of the Board, other than an executive session, shall be available to Members within thirty (30) days of the meeting. The minutes, proposed minutes, or summary minutes shall be distributed to any Member of the Master Association upon request and upon reimbursement of the Master Association's costs in making that distribution.

Members of the Master Association shall be notified in writing at the time that the pro forma budget required by California Civil Code Section 1365 is distributed or at the time of any general mailing to the entire membership of the Master Association of their right to have copies of the minutes of meetings of the Board. The minutes may be obtained in accordance with the provisions of the Article herein entitled "Inspection of Books and Records."

Section 5. Action Without Meeting. The Board may take any action without a meeting if all members of the Board unanimously consent in writing to the action to be taken. If the Board resolves by unanimous written consent to take any such action, an explanation of the action taken shall be posted at a prominent place or places within the Master Association Property within three (3) days after the written consent of all Directors has been obtained.

Section 6. Conduct of Meetings. The President of the Master Association shall preside over all meetings of the Board held during the Board's term of office. In the event the President shall be absent from any meeting, said meeting shall be presided over by the Vice President, and if the Vice President shall be absent, by such other Director as may be elected by a majority of a quorum of the Directors. The Secretary of the Master Association shall act as

Secretary of the Board, but in the event the Secretary shall be absent, the President or presiding Director may appoint any person to act as Secretary for the meeting.

Section 7. Quorum. A majority of the total number of Directors shall constitute a quorum for the transaction of business. Every act or decision done or made by a majority of the Directors present at a duly held meeting at which a quorum has been established shall be regarded as the act of the Board.

ARTICLE VII

POWERS AND DUTIES OF THE BOARD OF DIRECTORS

Section 1. Powers and Duties. The Board, for and on behalf of the Master Association, shall have the right and power to do all things necessary to conduct, manage and control the affairs and business of the Master Association as more particularly described in the Articles of Incorporation and in the Master Declaration.

ARTICLE VIII

OFFICERS AND THEIR DUTIES

Section 1. Enumeration and Qualifications of Officers. The officers of this Master Association shall be a President, Vice President, Secretary and a Treasurer. Said officers shall consist only of Members in good standing of the Master Association, or an authorized agent of Declarant (or of a Merchant Builder) so long as Declarant is entitled to annex any of the Annexable Property into the Community. Any Member serving as a Director of the Master Association may simultaneously serve as an officer thereof.

Section 2. Election of Officers. The election of officers shall take place at the first meeting of the Board following each annual meeting of the Master Association.

Section 3. Term. The officers of the Master Association shall be elected annually by the Board and each shall hold office for one (1) year, unless such officer shall sooner resign or shall be removed or otherwise disqualified to serve.

Section 4. Special Appointments. The Board may elect such other officers as the affairs of the Master Association may require, each of whom shall hold office for such

period, have such authority and perform such duties as the Board may, from time to time, determine.

Section 5. Resignation and Removal. Any officer may be removed from office at any time, with or without cause, by a majority of the Board. Any officer may resign at any time by giving written notice to the Board, the President or the Secretary. Such resignation shall take effect on the date of receipt of such notice or at such later time specified therein, and unless otherwise specified therein, the acceptance of such resignation shall not be necessary to make it effective.

Section 6. Vacancies. A vacancy in any office may be filled by appointment by the Board. The officer appointed to such vacancy shall serve for the remainder of the term of the officer he replaces.

Section 7. Multiple Offices. The offices of Secretary and Treasurer may be held by the same person. No person shall simultaneously hold more than one (1) of any of the other offices, except in the case of special offices created pursuant to Section 4 of this Article.

Section 8. Duties. Duties of the officers are as follows:

(a) President: The President shall preside at all meetings of the Master Association and Board; shall see that orders and resolutions of the Board are carried out; shall co-sign all leases, mortgages, deeds and other written instruments, and shall co-sign all checks and promissory notes; provided, however, that the authority to co-sign all checks is assignable to a manager for the Community.

(b) Vice President: The Vice President shall act in the place and stead of the President in the event of the President's absence, inability or refusal to act, and shall exercise and discharge such other duties as may be required of him by the Board.

(c) Secretary: The Secretary shall record the votes and keep the minutes of all meetings and proceedings of the Board and of the Master Association; shall co-sign all contracts, leases or other instruments executed in the name of or on behalf of the Master Association; serve notice of meetings of the Board, of the Master Association and of the Members in each Delegate District; keep appropriate current records showing the Members of the Master Association and the Delegates (and Alternate Delegate) for each Delegate District, together with their addresses, and shall perform such other duties as required by the Board.

(d) Treasurer: The Treasurer shall receive and deposit in appropriate bank accounts all moneys of the Master Association and shall disburse such funds as directed by resolution of the Board; shall co-sign all checks and promissory notes of the Master Association; provided, however, that the authority to co-sign all checks is assignable to a manager for the Community; keep proper books of account; cause an annual audit of the Master Association books to be made by a certified public accountant at the completion of each fiscal year as provided for in the Master Declaration, and shall prepare an annual budget and a statement of income and expenditures to be presented to the membership at its regular annual meeting, and deliver a copy of each to the Members.

Section 9. Compensation of Officers. No officer shall receive any compensation for services performed for the Master Association; provided, however, that an officer may be reimbursed for his actual expenses incurred in the performance of his duties.

ARTICLE IX

COMMITTEES

Section 1. Appointment of Committees. The Board shall appoint the members of the Nominating Committee as provided in these Bylaws and the Architectural Control Committee as provided in the Master Declaration. In addition, the Board may appoint such other committees as deemed appropriate in carrying out its purposes.

ARTICLE X

INSPECTION OF BOOKS AND RECORDS

Section 1. Availability of Books and Records. Members of the Master Association and each Eligible Mortgage Holder shall have access to the Master Association Documents and to all of the Master Association's records in accordance with Section 8330 et seq. of the California Corporations Code, as same may be amended from time to time, and in accordance with the provisions of the Master Declaration. Notwithstanding the foregoing, the membership register, including mailing addresses and telephone numbers, books of account and

minutes of meetings of the Members within a Delegate District, of the Delegates, of the Board and of any and all committees, shall be made available for inspection and copying by any Member of the Master Association, or by his duly-appointed representative, and by each Eligible Mortgage Holder at any reasonable time and for a purpose reasonably related to his interest as a Member or Eligible Mortgage Holder, at the office of the Master Association or at such other place within the Community as the Board shall prescribe.

Section 2. Rules Concerning Inspection. The Board shall establish reasonable rules with respect to:

(a) Notice to be given to the custodian of the records by the Member and by each Eligible Mortgage Holder desiring to make the inspection;

(b) Hours and days of the week when such an inspection may be made; and

(c) Payment of the cost of reproducing copies of documents requested by a Member or Eligible Mortgage Holder.

Section 3. Inspection by Directors. Every Director shall have the absolute right at any reasonable time to inspect all books, records and documents of the Master Association, and the physical properties owned or controlled by the Master Association. The right of inspection by a Director includes the right to make extracts and copies of documents.

ARTICLE XI

NOTICE AND HEARING

Section 1. Suspension of Privileges. In the event of an alleged violation of the Master Association Documents, after Notice and Hearing as provided below, the Board shall have the right to discipline any Member by taking any one (1) or more of the following actions: (a) levying a Compliance Assessment as provided in the Master Declaration; (b) suspending or conditioning the right of said Member to use any Master Association Property recreational amenities; or (c) suspending the voting rights attributable to such Member's Lot or Condominium. Except as otherwise provided in the Master Declaration, any such suspension shall be for a period of time not exceeding thirty (30) days for any noncontinuing violation, but in the case of a continuing violation, including, without limitation, the nonpayment of

Assessments which have become delinquent, such suspension may be imposed so long as the violation continues.

Section 2. Notice to Member. Written notice of the alleged violation shall be delivered personally or mailed to the Member by first class or registered mail, return receipt requested, at least fifteen (15) days before the proposed hearing on said alleged violation. Said notice shall contain: (a) an explanation in clear and concise terms of the nature of the alleged violation; (b) a reference to the provision(s) of the Master Association Documents which said Member is alleged to have violated; (c) the date, time and place for the hearing; and (d) the Member's right to attend the hearing and to address the Board.

Section 3. Hearing. The hearing shall be conducted by the Board, and shall be conducted in executive session, if requested by the Member, who shall be entitled to hear the charges and evaluate the evidence concerning the alleged violation. At the hearing, the Member shall have the right to present oral or written evidence concerning the alleged violation. The Board shall render its decision concerning the alleged violation to said Member not less than five (5) days after the hearing, and within fifteen (15) days after the hearing, the Board shall provide by either personal delivery or first-class mail a written explanation of the suspension, fine or conditions, if any, imposed by the Board.

Section 4. Monetary Penalties. If the Board adopts a policy regarding the imposition of any monetary penalty (including a Compliance Assessment) on any Member due to a violation of the Master Association Documents, (including any monetary penalty relating to the activities of a guest or invitee of a Member), the Board shall adopt and distribute to each Member, by personal delivery or first-class mail, a schedule of the monetary penalties that may be assessed for those violations. The Board shall not be required to distribute any additional schedules of monetary penalties unless there are changes from the schedule previously adopted and distributed to the Members.

ARTICLE XII
AMENDMENTS

Section 1. Amendments to Bylaws. So long as the two-class voting structure provided for herein shall remain in effect, an amendment to these Bylaws shall be adopted if, at a meeting of the Master Association at which a quorum was established (or by action of the Delegates without a meeting) the amendment is approved by Delegates casting affirmative votes on behalf of fifty-one percent (51%) of the voting power of each class of Members. At such time as the Class B membership shall cease and be converted to Class A membership, an amendment to these Bylaws shall be adopted if, at a meeting of the Master Association at which a quorum was established (or by action of the Delegates without meeting), the amendment is approved by:

(a) Delegates casting affirmative votes on behalf of at least fifty-one percent (51%) of the total voting power of the Master Association; and

(b) Delegates casting affirmative votes on behalf of at least fifty-one percent (51%) of the Members, other than the Declarant (and Merchant Builders).

Notwithstanding the foregoing, the percentage of the voting power necessary to amend a specific provision of these Bylaws shall not be less than the prescribed percentage of Delegates casting affirmative votes on behalf of Members which is required for action to be taken under said provision.

ARTICLE XIII
CORPORATE SEAL

Section 1. Seal. The Master Association shall have a seal in circular form having within its circumference the words:

WOODBURY COMMUNITY ASSOCIATION

ARTICLE XIV
MISCELLANEOUS

Section 1. Director and Officer Liability. In accordance with the provisions of Section 1365.7 of the California Civil Code, as amended from time to time, a volunteer officer or volunteer Director shall not be personally liable in excess of the insurance coverage specified in the Master Declaration to any person who suffers injury, including, but not limited to, bodily injury, emotional distress, wrongful death, or property damage or loss as a result of the tortious act or omission of a volunteer officer or volunteer Director of the Master Association if all of the following criteria are met:

(a) The act or omission was performed within the scope of the officer's or Director's Master Association duties (including, but not limited to, decisions whether to conduct an investigation of the Community for latent deficiencies prior to the expiration of the applicable statute of limitations, and/or whether to commence a civil action against the builder for defects in design or construction);

(b) The act or omission was performed in good faith.

(c) The act or omission was not willful, wanton or grossly negligent.

(d) The Master Association maintained and had in effect at the time the act or omission occurred and at the time claim is made one or more policies of insurance which include coverage for general liability insurance and for individual liability of officers and directors of the Master Association for negligent acts or omissions in that capacity; provided that both types of coverage are in the following minimum amounts:

(1) At least five hundred thousand dollars (\$500,000) if the Community consists of 100 or fewer Lots and/or Condominiums;

(2) At least one million dollars (\$1,000,000) if the Community consists of more than 100 Lots and/or Condominiums.

The payment of actual expenses incurred by a Director or officer in the execution of the duties of that position does not affect the Director's or officer's status as a volunteer within the meaning of this Section. An officer or Director who at the time of the act or omission received either direct or indirect compensation as an employee from Declarant, or from a financial institution that

purchased a Lot or Condominium at a judicial or nonjudicial foreclosure of a Mortgage is not a volunteer for the purposes of this Section.

Nothing in this Section shall be construed to limit the liability of the Master Association for its negligent acts or omissions or for any negligent act or omission of any officer or Director of the Master Association.

This section shall only apply to a volunteer officer or Director who resides in the Community either as a tenant or as an Owner of no more than two Lots and/or Condominiums in the Community.

Section 2. Indemnification of Directors and Officers. To the maximum extent permitted by law, the Master Association shall defend, indemnify and hold harmless all Directors, officers, employees and "agents" (as defined in Section 7237 of the California Corporations Code) of the Master Association (collectively the "Master Association Representatives"), from and against all claims, costs, expenses and other liability which may be imposed upon or reasonably incurred by a Master Association Representative (including reasonable settlement payment), in connection with any claim, action, suit or proceeding, or threat thereof, made or instituted, in which such Master Association Representative may be involved or be made a party by reason of being or having been a Master Association Representative or by any action alleged to have been taken or omitted by such Master Association Representative whether or not the claim asserted is based on matters which arose in whole or in part prior to the adoption of this Section. In the event of the death of the Master Association Representative, the defense and indemnification provided by the Master Association shall extend to the legal representatives of such person. The right of indemnification provided in this Section shall not be exclusive of any other rights to which any person may be entitled as a matter of law, under any agreement or otherwise.

Section 3. Fiscal Year. The fiscal year of the Master Association shall be determined by the Board, and having been so determined, is subject to change, from time to time, as the Board shall determine.

Section 4. Checks and Drafts. Except as provided herein or in the Article in the Master Declaration entitled "Powers and Duties of the Master Association," all checks, drafts or other order for payments of money, notes or other evidences of indebtedness issued in the

name of or payable to the Master Association shall be signed or endorsed by the President and Treasurer.

Section 5. Execution of Documents. The Board may authorize any officer(s), agent(s), or employee(s) to enter into any contract or execute any instrument in the name and on behalf of the Master Association, and such authority may be general or confined to specific instances. Unless so authorized by the Board, no officer, agent or employee shall have any power or authority to bind the Master Association by any contract or engagement, to pledge its credit, or to render it liable for any purpose or in any amount.

Section 6. Dissolution. Any dissolution of the Master Association shall require the approval of the Board and approval consent of both: (a) Delegates casting affirmative votes on behalf of at least sixty-seven percent (67%) of the total voting power of the Master Association, and (b) Delegates casting affirmative votes on behalf of at least sixty-seven percent (67%) of the voting power of the Master Association residing in Members other than Declarant and the Merchant Builders. Upon the winding-up and dissolution of the Master Association, after paying or adequately providing for the debts and obligations of the Master Association, the remaining assets shall be distributed to an appropriate public agency or any nonprofit corporation, association or trust, to be used for purposes similar to those for which the Master Association was created.

Section 7. Conflict. In the case of any conflict between the Articles and these Bylaws, the Articles shall control, and in the case of any conflict between the Master Declaration and these Bylaws, the Master Declaration shall control.

* * *

CERTIFICATE OF SECRETARY

I, the undersigned, do hereby certify:

1. That I am the duly elected and acting Secretary of WOODBURY COMMUNITY ASSOCIATION, a California nonprofit, mutual benefit corporation; and

2. That the foregoing Bylaws, comprising of 22 pages, constitute the original Bylaws of said corporation, as duly adopted at the first meeting of the Board of Directors thereof duly held on September 13, 2004.

IN WITNESS WHEREOF, I have hereunto subscribed my name and affixed the seal of said corporation this 13th day of September, 2004.

Wendy DeWitt
SECRETARY